

Vernacular of the property management industry

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User

Give me a list of the vernacular used by the property management industry along with a definition of each term

Assistant

Here is a comprehensive list of vernacular used in the property management industry, categorized by function. Note that terminology can vary significantly between **Residential** and **Commercial** sectors, as well as by region (e.g., US vs. UK vs. Canada).

Financial Performance & Metrics

- **NOI (Net Operating Income):** Revenue from the property minus all operating expenses (excluding debt service, taxes, and depreciation). The primary metric for evaluating property profitability.
- **Cap Rate (Capitalization Rate):** A rate of return used to estimate the potential return on an investment property. Calculated as $\text{NOI} / \text{Current Market Value}$.
- **Cash-on-Cash Return:** The annual pre-tax cash flow divided by the total cash invested. Used to measure the ROI on actual money put in.
- **AR / AP (Accounts Receivable / Accounts Payable):** Money owed to the property by tenants (AR) and money the property owes to vendors or creditors (AP).
- **AR Aging:** A report showing how long receivables have been outstanding. "AR Aging > 30 days" is a red flag for collection issues.
- **Pro-Forma:** A projected financial statement showing expected income and expenses based on assumptions, often used during underwriting or budgeting.
- **Amortization:** The process of paying off debt over time through regular payments. In property management, this often refers to the loan schedule.
- **Escrow:** Funds held by a third party (often the lender or property manager) to cover future expenses like taxes and insurance.
- **Yield:** The income generated by an investment relative to its cost. "Cap Rate" is a form of yield; "Cash-on-Cash" is another.

Lease Administration & Revenue

- **Rent Roll:** A master document listing all tenants, unit numbers, lease terms, current rent, security deposits, and move-in/move-out dates.
- **Lease Abstraction:** The process of summarizing the key terms and obligations of a lease into a concise document for investors or management.
- **CRV (Current Rental Value):** The estimated market rent for a unit at the current time, used to justify rent increases.
- **TI (Tenant Improvement):** Allowance or funds provided to a tenant to customize or upgrade a space. Common in commercial leases.
- **Concession:** An incentive offered to a tenant to sign a lease, such as "one month free" or paid moving costs.
- **Rent Abatement:** A period where rent is reduced to zero or discounted, often due to damages, renovations, or lease negotiation.
- **Turnover:** The process of preparing a unit for a new tenant after a departure, including cleaning, repairs, and repainting.
- **Vacancy Loss:** Income lost due to units being unoccupied. "Physical Vacancy" means empty; "Economic Vacancy" means occupied but paying \$0 (e.g., abatement).
- **Holdover:** A tenant who remains in the property after their lease has expired without a new agreement.
- **Sublease / Assignment:**
 - *Sublease:* Tenant rents the space to a third party but remains liable to the landlord.
 - *Assignment:* Tenant transfers the lease entirely to a new tenant, who assumes all liability.

Commercial Real Estate (CRE) Specifics

- **NNN (Triple Net Lease):** A lease structure where the tenant pays base rent plus property taxes, insurance, and maintenance. The landlord receives "net" income with minimal expense.
- **CAM (Common Area Maintenance):** Costs associated with maintaining shared areas (lobbies, parking lots, hallways). Tenants are often reimbursed for their share of CAM.
- **Gross Lease:** A lease where the landlord pays all operating expenses; the tenant pays a flat rent.
- **Modified Gross Lease:** A hybrid where the landlord pays some expenses and the tenant pays others (e.g., tenant pays utilities and janitorial).
- **Estoppel Certificate:** A document signed by the tenant confirming the lease terms, rent amount, and that the lease is in good standing. Required by lenders and buyers during due diligence.
- **COI (Certificate of Insurance):** Proof of insurance coverage required from tenants and vendors.
- **Use Clause:** A lease provision defining exactly how the tenant may use the property (e.g., "retail clothing only").



Residential Specifics

- **Security Deposit:** Funds held to cover potential damages or unpaid rent. Refund timelines and limits are strictly regulated.
- **Fair Housing:** Federal (and state/local) laws prohibiting discrimination in housing based on race, color, religion, sex, national origin, disability, and familial status.
- **Section 8 / Housing Choice Voucher:** Government subsidy program where a portion of the rent is paid by the housing authority.
- **Lead-Based Paint:** A disclosure requirement for properties built before 1978 in the US.
- **Eviction:** The legal process of removing a tenant for non-payment or lease violations.
- **Notice to Quit / Pay or Quit:** A formal legal notice given to a tenant to either pay overdue rent or vacate the property.
- **Rent Control / Stabilization:** Government regulations limiting how much rent can be increased and under what conditions a tenant can be evicted.



Operations & Maintenance

- **Work Order:** A request for maintenance or repair, often tracked via software.
- **PM (Preventative Maintenance):** Scheduled maintenance to prevent equipment failure (e.g., HVAC filter changes, boiler inspections).
- **Emergency Maintenance:** Urgent repairs required to prevent safety hazards or major damage (e.g., burst pipe, no heat in winter).
- **Code Compliance:** Ensuring the property meets local building, fire, and safety codes.
- **Vendor Management:** The process of selecting, contracting, and monitoring contractors and service providers.
- **Lien:** A legal claim on the property as security for a debt.
 - *Mechanics Lien:* Filed by a contractor who hasn't been paid.
 - *Tax Lien:* Filed by the government for unpaid property taxes.
- **Slander of Title:** A legal tort involving false statements that cast doubt on the ownership of the property.



Industry Tech & General Lingo

- **PropTech:** Property Technology; software and apps used to manage real estate.
- **Yardi / AppFolio / RealPage:** Major property management software platforms. (Note: These are brand names but often used generically in conversation, e.g., "Did you push that to Yardi?")
- **BPO (Broker Price Opinion):** An estimate of a property's value provided by a real estate broker, often used instead of a full appraisal.
- **Asset Manager vs. Property Manager:**
 - *Property Manager:* Focuses on day-to-day operations, tenants, and maintenance.
 - *Asset Manager:* Focuses on the financial performance, strategy, and value of the investment over time.

- **Disposition:** The sale or transfer of the property.
- **Acquisition:** The purchase of a property.
- **Underwriting:** The analysis of a property's financials to determine if it is a viable investment.

💡 Pro-Tips for Context

1. **NNN vs. Gross:** In Commercial, always clarify who pays taxes and insurance. A "\$20/sq ft rent" means very different things in a NNN vs. Gross lease.
2. **Estoppel is King:** In commercial transactions, an Estoppel Certificate is often the most critical document for buyers/lenders to verify the lease is real and accurate.
3. **Fair Housing Applies Everywhere:** Even in commercial management, anti-discrimination laws apply, and in residential, the penalties for violations are severe.
4. **AR Aging:** If you see an AR Aging report, the "60/90 days" columns are where cash flow risks live. Immediate action is usually required there.

This glossary covers the vast majority of terms you will encounter in professional property management. If you need definitions for a specific niche (e.g., Self-Storage, Student Housing, or Industrial), let me know!

User

Is it correct that they describe a number of properties owned by a landlord as a portfolio, an apartment block as a complex / estate and a flat / house as a unit

Assistant

Your understanding is **functionally correct**, but the terminology shifts significantly by **region** and **context** (residential vs. commercial, operational vs. financial). Here's a precise breakdown:

◆ Portfolio ✅

- **Accurate.** In property management and real estate investing, a *portfolio* refers to a collection of properties owned, managed, or financed by a single investor, institution, or management company. It carries a financial/strategic connotation rather than a purely physical one.

◆ Apartment Block → Complex / Estate ⚠️

- **Complex:** Standard in the **US and Canada** (e.g., *apartment complex*, *office complex*). Implies a multi-building or multi-unit site with shared amenities, parking, or common areas.

- **Estate:** Primarily a **UK, Australia, and New Zealand** term (e.g., *housing estate*, *residential estate*). In the US, *estate* typically refers to a single large property, landholding, or luxury home, **not** a multi-unit building.
- **Professional Note:** In cross-market or institutional contexts, *property*, *building*, or *site* are often preferred for neutrality and precision.

◆ **Flat / House → Unit** ⚠️

- **Unit:** Standard in the **US, Canada, and commercial real estate globally**. Refers to an individual apartment, condo, townhouse, or commercial space within a larger property.
- **UK/Australia:** *Unit* is **less common for standalone homes**. In the UK, they'll say *flat*, *house*, *dwelling*, or *property*. In Australia, *unit* is commonly used for apartments, but *house* remains standalone.
- **Professional Note:** In leases, accounting software, and investor reports, *unit* is universally understood, but local terminology matters for tenant-facing communication.

🌐 **Quick Regional Mapping**

Concept	US / Canada	UK / Commonwealth	Commercial / Global
Collection of properties	Portfolio	Portfolio	Portfolio
Multi-unit building	Apartment complex / Property / Site	Housing estate / Block / Building	Building / Site / Asset
Individual flat/house	Unit / Residence / Dwelling	Flat / House / Property / Dwelling	Unit / Suite / Premises

💡 **Bottom Line**

Your mapping is **correct in practice**, but always adapt to your market:

- Use **portfolio** for investor/financial contexts.
- Use **complex** (US) or **estate** (UK) based on geography.
- Use **unit** for US/commercial; **flat/house/property** for UK residential.

If you share your specific market or use case (e.g., leasing, accounting, investor reporting, or software configuration), I can give you the exact terminology standard for that context.

User

What about arrears

Assistant

Yes, **arrears** is a core property management term, but it actually carries **two distinct meanings** that are critical to understand. Confusing them is a common source of cross-market or lease-structure misunderstandings.

◆ **Meaning 1: Unpaid Rent (Debt Status)**

"**Rent in arrears**" = Rent that has passed its due date and remains unpaid.

- **Usage:** Standard across all markets for tracking delinquency.
- **How it's managed:**
 - Tracked in **AR Aging reports** (30/60/90-day arrears buckets)
 - Triggers **cure periods**, late fees, and legal notices (e.g., *Pay or Quit*)
 - Separated in accounting software as Current Rent vs. Arrears Balance
- **Regional note:**
 - **UK/Commonwealth:** Everyday language. You'll see "rent arrears," "service charge arrears," or "in arrears" on statements, notices, and legal docs.
 - **US:** Used in formal leases, accounting, and legal contexts, but day-to-day staff/tenant communication often says "*late rent*," "*past due balance*," or "*unpaid rent*."

◆ **Meaning 2: Payment Timing (Lease Structure)**

"**Paid in arrears**" = Tenant pays **after** occupying the space.

- **Example:** Pay on the 1st for the *previous* month's occupancy.
- **Standard in:** UK, Europe, Australia, and most commercial leases globally.
- **Opposite term: Paid in advance** = Pay *before* occupying (e.g., pay on the 1st for the *current* month). Standard in US/Canada residential leasing.

⚠ **Why this matters:** If a US-based investor says "*we collect rent in arrears*," they mean they get paid *after* occupancy. A US tenant might assume they owe nothing until the 1st, while the landlord expects payment on the 1st for the *upcoming* month. Always clarify payment timing in lease drafting and tenant onboarding.

📊 **Quick Reference**

Context	Meaning	Common Region/Use
"Tenant is in arrears"	Owes unpaid rent	Global (formal/accounting/legal)
"Rent paid in arrears"	Pay after occupying	UK, Europe, Commercial
"Rent paid in advance"	Pay before occupying	US, Canada, Residential

Context	Meaning	Common Region/Use
"Arrears aging"	Breakdown of overdue balances by days	Accounting/Software (Yardi, AppFolio, etc.)

Professional Tip

In software, investor reports, and cross-market operations, always specify:

- **Arrears Balance** = \$X owed
- **Payment Terms** = In arrears or In advance This prevents lease misinterpretation, accounting errors, and tenant disputes.

Let me know if you want a breakdown of how arrears triggers legal notices, credit reporting, or software workflows in a specific market.